



AGENDA REPORT

City Council

**MEETING
DATE:**

January 15, 2025

**PREPARED
BY:**

Julie Ramos,
Finance Analyst

**INTERIM
DEPARTMENT
DIRECTOR:**

Tom Gallup

DEPARTMENT: Finance**INTERIM CITY
MANAGER:**

Jennifer Campbell

SUBJECT:

Annual Report Concerning the Mitigation Fee Act for Fiscal Year 2023-24

RECOMMENDED ACTIONS:

Review and file the Annual Development Impact Mitigation Fee Report for Fiscal Year Ended June 30, 2024.

ENVIRONMENTAL CONSIDERATIONS:

The action being considered by the City Council is exempt from the California Environmental Quality Act (CEQA) because it is not a “project” under Section 15378(b)(5) of CEQA Guidelines. The action involves an organizational or administrative activity of government that will not result in the direct or indirect physical change in the environment.

This item is not related to the Climate Action Plan.

STRATEGIC PLAN:

This item falls within the Effective City Services and Reliable Infrastructure focus area of the Strategic Plan where services are provided consistently, timely and predictably, and infrastructure investments are planned and executed in a fiscally responsible manner.

FISCAL CONSIDERATIONS:

There is no direct fiscal impact related to the recommended actions in this report.

BACKGROUND:

To offset the demands on public facilities needed to serve new development, the City has established a development impact fee program. The fees are collected under the authority of the

California Mitigation Fee Act, Government Code Sections 66000 *et seq.* The City's program is established in the Encinitas Municipal Code Chapter 23.90.

The Mitigation Fee Act governs the establishment and administration of development impact fees. Implementing agencies are required to follow certain accounting and financial disclosure requirements. Reporting requirements include:

- Annual Report – making available to the public, within 180 days after the last day of each fiscal year, certain information pertaining to mitigation fees collected and expended. The information is to be reviewed by the local agency at the next regularly scheduled public meeting not less than 15 days after the information is made available to the public (Gov. Code Section 66006). To make the information available to the public, the City published a public notice in The Coast News on December 20, 2024 and posted the report on the City's website on December 20, 2024. This agenda item meets the requirement for City Council review at the next regularly scheduled meeting on January 15, 2025.
- Five-Year Report – a periodic report to make findings with respect to unexpended mitigation fees (Gov. Code Section 66001). The previous Five-Year report for the period July 1, 2018 through June 30, 2023 was accepted by the City Council on January 17, 2024. The next Five-Year report will cover the period of July 1, 2023 through June 30, 2028 and will be made available in December 2028.
- In September of 2021, the California Legislature passed Assembly Bill (AB) 602, and the Governor signed it into law. AB 602 creates some new requirements for impact fees that went into effect in January and July of 2022. Specifically, the new law amends Gov. Code Section 65940.1 pertaining to posting of information related to the City's Development Impact Fee program. Required impact fee financial reports and fee studies are available on the City's website at <https://encinitasca.gov/Government/Departments/Finance>. Development fee schedules and forms organized by department are available on <https://encinitasca.gov/Government/Departments/applications-and-information>.
- In October of 2023, the California Legislature passed, and the Governor approved Assembly Bill (AB) 516, which creates additional reporting and noticing requirements relating to development impact fees. This bill makes changes to sections 66006 and 66023 of the Government Code relating to reviewing and revising construction start dates identified in previous reports, providing additional detail on any refunds made, and informing fee payers about a person's right to request an audit.

ANALYSIS:

The City collects fees for Park Development, Parkland Acquisition, Traffic Mitigation, Regional Arterial System (through the Regional Transportation Congestion Improvement Program managed by the San Diego Association of Governments), Open Space Acquisition, Recreation Trails, Community Facilities, Fire Mitigation, and Flood Control. All fees collected and interest earned thereon are deposited in separate special revenue funds and are restricted to expenditures in accordance with the purpose of the fee and the requirements of the Mitigation Fee Act.

The purpose of this agenda report is to allow City Council to review and accept the Annual Report of Development Impact Fees for Fiscal Year Ended June 30, 2024 (**Attachment 1**).

All the information utilized to prepare the annual report is contained in the public documents available in the Public Records Archive on the City website:

<https://encinitasca.gov/Government/Public-Records>.

Finance Department pages (<https://encinitasca.gov/Government/Departments/Finance>) on the City website also provide direct links to related documents in the Public Records Archive, including:

- [City Financial Studies](#) - links to Development Impact Fee Studies;
- [City Financial Reports](#) - links to Annual Comprehensive Financial Reports and Mitigation Fee Act Reports; and
- [City Budgets](#) - links to Annual Adopted Operating Budget and CIP Plan and archives.

ATTACHMENTS:

1. Annual Development Impact Mitigation Fee Report for Fiscal Year Ended June 30, 2024

Annual Development Impact/Mitigation Fees Report

For Fiscal Year Ended June 30, 2024

Prepared by
City of Encinitas
Finance Department
December 20, 2024



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1.0 Annual Development Impact Fee Report

The California Mitigation Fee Act (Government Code Sections 66000 et seq.) mandates procedures for administration of impact fee programs, including collection and accounting, reporting, and refunds. Regarding reporting requirements, the Mitigation Fee Act requires annual reporting for each impact fee fund.

1.1 Annual Report Requirements

Assembly Bill 516 amended Government Code § 66006(b)(1) effective January 1, 2024. The section outlines the following annual reporting requirements pertaining to development impact fees:

For each separate account or fund established, the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

- (A) A brief description of the type of fee in the account or fund. *(See report section 1.2)*
- (B) The amount of the fee. *(See report section 1.3 and attachment)*
- (C) The beginning and ending balance of the account or fund. *(See report section 1.4)*
- (D) The amount of the fees collected and interest earned. *(See report section 1.4)*
- (E) An identification of each public improvement on which fees were expended and the amount of expenditures on each improvement including the total percentage of the cost of the public improvement that was funded with fees. *(See report section 1.5)*
- (F)
 - (i) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.
 - (ii) An identification of each public improvement identified in a previous report pursuant to clause (i) and whether construction began on the approximate date noted in the previous report.
 - (iii) For a project identified pursuant to clause (ii) for which construction did not commence by the approximate date provided in the previous report, the reason for the delay and a revised approximate date that the local agency will commence construction. *(See report section 1.5)*
- (G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan. *(See report section 1.6)*

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Annual Development Impact Mitigation Fee Report
For Fiscal Year Ended June 30, 2024

- (H) The amount of refunds made pursuant to subdivision (e) of Section 66001, the number of persons or entities identified to receive those refunds, and any allocations pursuant to subdivision (f) of Section 66001. *(See report section 1.7)*

Per Section 66006(b)(2), the annual report must be reviewed by the City Council at its next regularly scheduled public meeting, but not less than 15 days after the statements are made public. Meeting notices also must be mailed, at least 15 days prior to the meeting, to any interested party who files a written request with the local agency for mailed notice of the meeting.

GC § 65865(e) also requires that in any development agreement entered into on or after January 1, 2004, the City shall comply with GC § 66006 with respect to any fee it receives or cost it recovers.

1.2 Types of Impact Fees and Impact Fee Funds

GC § 66006 (b)(1)(A)

This Annual Development Impact Fee Report includes the fees listed below. The revenue and expenditures for each fee type is tracked by the City in a separate fund.

Fund #	Fund Name	Fee Description	Code	Recent Fee Study
231	Park Development Fees	The park land in lieu/ impact fees and the park improvement impact fees will be used to acquire land and construct park improvements to mitigate the impacts of new development. The parks being funded by impact fees are needed to serve additional population related to new residential development.	EMC 23.98	DIF 2015 Chapter 3
232	Parkland Acquisition Fees			
233	Traffic Mitigation Fees	The purpose of the City's traffic mitigation fee is to provide for the traffic facilities needed to serve new development. The fees deposited in the traffic mitigation fee fund are used for the construction and reconstruction of Circulation Element streets and traffic facilities. The City's traffic mitigation fee follows the RTCIP amount increased annually as approved by the SANDAG Board.	EMC 23.94 23.94.050	DIF 2000 Section 3
234	Regional Traffic Mitigation Fees	The TransNet Extension Ordinance requires the 18 cities in the San Diego region and the County of San Diego to collect a Regional Transportation Congestion Improvement Program (RTCIP) fee from the private sector for each new housing unit constructed in its jurisdiction, with certain exceptions, including low-income residential units and accessory dwelling units. The purpose of this fee is to help ensure that future development contributes its proportional share of the funding needed to pay for the impact of new growth on the Regional Arterial System and related regional transportation facility improvements as defined in the most recent Regional Transportation Plan adopted by SANDAG.	EMC 23.94.040.A	SANDAG Commission Ordinance 04-01
235	Open Space Acquisition Fees	The open space and trails development impact fees will be used to pay for additional open space and trails to mitigate the demand created by new residential development, or if it is not feasible to acquire additional open space, the open space fees may be used to improve access to, or usability of, existing open space.		DIF 2015 Chapter 4
236	Recreational Trails Fees			

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Annual Development Impact Mitigation Fee Report
For Fiscal Year Ended June 30, 2024

Fund #	Fund Name	Fee Description	Code	Recent Fee Study
237	Community Facilities Fees	Community Facilities Fees are used to mitigate the cost of improvements needed to meet the recreational space and facilities—such as the Encinitas branch library addressed in the 2005 impact fee study. Impact fees to recover new development's share of the costs for the branch are based on per-capita costs and the population per dwelling unit.		DIF 2005 Chapter 5
238	Fire Mitigation Fees	The purpose of the fire protection impact fees is to mitigate the impact of all new development on the need for fire protection facilities and equipment in the City. Fees will be used to pay for additional fire protection assets needed to maintain the existing level of service for fire protection in the City. The fees are based on the impact of each type of new development, as measured by its associated increase in functional population.	EMC 23.92	DIF 2015 Chapter 5
239	Flood Control Mitigation Fees	The purpose of the flood control fee is to provide for flood control facilities needed to serve the development. Fees are used for the construction of planned drainage facilities for the removal of surface and stormwaters from the City of Encinitas, as shown on the San Diego County Flood Control Plan adopted in 1977. The fee is 21 cents per square foot of impervious surface resulting from the completion of the project.	EMC 23.96	

1.3 Current Impact Fees

GC § 66006 (b)(1)(B)

The Attachment to this report provides a current Development Impact Fee Schedule for the City of Encinitas.

Development impact fees in the City of Encinitas are one-time charges levied on new development to fund construction of certain capital improvements that will be needed to mitigate the impacts of planned new development on City facilities and to maintain an acceptable level of public services as the City grows.

Impact fee amounts are calculated in development impact fee nexus studies. The table in section 1.2 references the most recent development impact fee study performed for each fee.

The 2000, 2005, and 2015 studies are available on the City's website at:
<https://www.encinitasca.gov/government/departments/finance/city-financial-studies>.

In December 2023, City staff issued a request for proposals for a mitigation fee nexus study update. In July, the City signed a contract with Harris & Associates to prepare a comprehensive development impact (mitigation) fee study. Staff anticipates presenting results to City Council in the spring or summer of 2025. If Council were to approve fee updates at that time, the new amounts would go into effect sometime in Fiscal Year 2025-26.

1.4 Financial Summary

GC § 66006 (b)(1) (C, D, G, H)

The Financial Summary on the next page provides an annual statement of revenue, expenditures, and changes in fund balance for each impact fee fund, for the Fiscal Year End June 30, 2024.

The Financial Summary includes:

- Beginning and ending balance of the account or fund;
- Amount of the fees collected and the interest earned;
- Interfund loan transfer amounts; and
- The amount of refunds made.

Financial Summary

GC § 66006 (b)(1) C D G H

Required Information	Park Development Fund 231	Parkland Acquisition Fund 232	Traffic Mitigation Fund 233	RTCIP Regional Arterial System Fund 234	Open Space Acquisition Fund 235	Recreational Trails Fund 236	Community Facilities Fund 237	Fire Mitigation Fund 238	Flood Control Fund 239	Total
(C) Beginning Fund Balance July 1, 2023	\$ 683,637	\$ 913,603	\$ 3,951,888	\$ 615,153	\$ 230,393	\$ 14,358	\$ -	\$ -	\$ 608,496	\$ 7,017,529
(D) Fees Collected	450,753	761,921	702,784	392,499	49,946	19,096	72,645	92,886	51,532	2,594,063
(H) Fees Refunded	-	-	-	-	-	-	-	-	-	-
(D) Interest Earned includes change in FMV	42,876	62,225	179,295	41,393	4,205	1,234	-	-	28,853	360,081
Total Revenues	493,629	824,146	882,079	433,892	54,151	20,330	72,645	92,886	80,385	2,954,143
Capital Expenditures										
(E) on Public Improvement Projects	-	-	(777,120)	-	(350,000) c	-	-	-	-	(1,127,120)
(G) General Fund Transfers Out										-
(G) Debt Service Transfer Out	-	-	-	-	-	-	(72,645) a	(92,886) b	-	(165,531)
(C) Ending Fund Balance June 30, 2024	\$ 1,177,266	\$ 1,737,750	\$ 4,056,847	\$ 1,049,045	\$ (65,456)	\$ 34,687	\$ -	\$ -	\$ 688,882	\$ 8,679,021
(C) Adjusted Ending Fund Balance June 30, 2024	\$ 1,177,266	\$ 1,737,750	\$ 4,056,847	\$ 1,049,045	\$ (65,456)	\$ 34,687	\$ -	\$ -	\$ 688,882	\$ 8,679,021
Current Unspent Committed Funds in Approved Public Improvement Projects	-	-	(3,759,677)	(976,454)	-	(32,782)	-	-	(665,264)	(5,434,176)
Uncommitted fund balance June 30, 2024 *	\$ 1,177,266	\$ 1,737,750	\$ 297,170	\$ 72,591	\$ (65,456) c	\$ 1,906	\$ -	\$ -	\$ 23,618	\$ 3,244,845

Notes:

a Transfer from the Community Facilities Fund to the General Fund for the repayment of an interfund loan for the construction of the Encinitas Library.

b Transfer from the Fire Mitigation Fund to the General Fund for the repayment of an interfund loan on the construction of Fire Stations 2 and 5.

c Purchase of 1.43 acres located at the northeast corner of Highway 101 and La Costa Ave included bond proceeds and available Open Space mitigation funds. The Open Space mitigation fund will be replenished with anticipated fee revenue and interest earned in Fiscal Years 2024-25 and 2025-26.

* Note: Column totals may not sum due to rounding.

1.5 Public Improvements

GC § 66006 (b)(1) (E, F)

This section of the Annual Report identifies each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees.

The Mitigation Fee Act also requires annual identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement.

It also contains the following information required by Assembly Bill 516:

- (F) (i) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.
- (ii) An identification of each public improvement identified in a previous report pursuant to clause (i) and whether construction began on the approximate date noted in the previous report.
- (iii) For a project identified pursuant to clause (ii) for which construction did not commence by the approximate date provided in the previous report, the reason for the delay and a revised approximate date that the local agency will commence construction.

Public Improvement Project Detail

GC § 66006 (b)(1) E, F

	FY 2023-24 Project Expenditures	Amount Funded by Impact Fees	Amount Funded by Other Sources	% of Cost Funded by Impact Fees	Approximate Construction Start Date	Amended Construction Start Date
PROJECT > MITIGATION FUND						
CS02G - Traffic Signal Modifications	294,818	32,587	262,231	11%	Ongoing	
233 - TRAFFIC MITIGATION FEE		32,587				
CS18E - General Mobility Improvements	67,652	4,502	63,149	7%	Ongoing	
233 - TRAFFIC MITIGATION FEE		4,502				
CS19E - Santa Fe Drive Corridor Improvement	1,798,136	740,031	1,058,106	41%	Winter 2023	
233 - TRAFFIC MITIGATION FEE		740,031				
Open Space Acquisition - 1.43 acres Hwy 101/La Costa	6,031,805	350,000	5,681,805	6%	N/A	
235 - OPEN SPACE ACQUISITION FEES		350,000				
Grand Total	8,192,411	1,127,120	7,065,290	14%		

The projects listed above represent recently completed and/or active (in-progress) uses of impact fee funds in Fiscal Year 2023-24 to complete current capital improvement projects.

The City has also identified public improvement projects that have sufficient impact fee funds available to complete, including approximate dates (fiscal year) of construction in the City's Capital Improvement Plan as adopted by City Council.

Outside of these two sources of information, the City has not determined that sufficient funds have been collected to complete financing of any other incomplete public improvements.

1.6 Interfund Loans

GC § 66006 (b)(1)(G)

Interfund loan transfer amounts are included in the Financial Summary for the Fiscal Year Ended June 30, 2024 in section 1.4.

1.7 Refunds

GC § 66006 (b)(1)(H)

The refunding requirements for the Mitigation Fee Act are summarized as follows:

If the City determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Government Code Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

As discussed in this Section 1.5 of this report, determinations regarding sufficient funds collected to complete incomplete improvements are provided by the City's annual Capital Improvement Plan. The City has not made a determination that sufficient funds have been collected to complete financing of any other incomplete public improvements. No refunds of impact fee monies were made or required.

Both the amount of refunds made and the number of persons or entities identified to receive those refunds are zero.

Attachment - Current Development Impact Fee Schedules

City of Encinitas
Annual Report of Development Impact/Mitigation Fees
For Fiscal Year Ended June 30, 2024

Fee Amount

GC § 66006 (b)(1)(B)

Development Type	Dev Units ¹	RTICIP								
		Park Development Fund 231	Parkland Acquisition Fund 232	Traffic Mitigation Fund 233	Regional Arterial System Fund 234	Open Space Acquisition Fund 235	Recreational Trails Fund 236	Community Facilities Fund 237	Fire Mitigation Fund 238	Flood Control Fund 239
Development projects within the City										\$0.21 per sq ft new impervious surface
Residential - Single-Family	DU	\$ 3,959	\$ 5,371			\$ 438	\$ 168	\$ 571	\$ 675	
Residential - Multi-Family	DU	2,644	3,587			293	112	R8-11 \$449 R11-25 \$428	451	
Residential - Mobile Home Park	DU	2,518	3,416			279	107	387	429	
Residential - Accessory Unit ²	DU	N/A	N/A			N/A	N/A	N/A	N/A	
Office - Professional	KSF								741	
Commercial	KSF								627	
Industrial - Light	KSF								184	
Hotel/ Motel Room	Room								184	

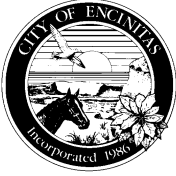
Traffic Mitigation Fees

Single-Family Residential x Peak Hour Trips x Traffic Mitigation Fee x Reduction Factor for Pass-by-Trips = Total Fee

Residential - Single-Family	DU		\$ 2,741.97	
Residential - Low Income	DU	\$ 2,741.97	Exempt	
Residential - Rural	DU	548.39	2,741.97	
Residential - Other	DU		2,741.97	
Other Development - Non Residential Calculated based on EDM 2.13 Attachment A				

¹ Units of development. DU = dwelling unit; KSF = 1,000 square feet of building area; Room = guest room or suite

² Per Council direction on August 19, 2015, impact fees on ADUs were removed from the fee schedules (2015-10-21 Item 10C).



ATTACHMENT A

PEAK-HOUR TRIPS FOR SPECIFIC RESIDENTIAL AND NON-RESIDENTIAL USES, AND APPLICABLE PASS-BY TRIP REDUCTION FACTORS

1 Peak hour trip =\$2,741.97

<u>Land Use Categories</u>	<u>Highest AM/ PM Peak hour trips</u>	<u>Pass-By Trips Reduction Factor</u>	<u>Traffic Fees</u>
RESIDENTIAL (per DU)			
Rural Residential	1.20	N/A	\$3,290.36
Single Family	1.00	N/A	\$2,741.97
Other Residential	N/A	N/A	\$2,741.97
OFFICE (per 1,000 sf)			
Standard Commercial Office	2.80	N/A	\$7,677.52
Single Tenant Office	2.10	N/A	\$5,758.14
Medical-Dental Office	5.50	N/A	\$15,080.84
SHOPPING CENTER (per 1,000 sf)			
Community (10-30 acres)	7.00	0.70	\$13,435.65
Neighborhood (<10 acres)	12.00	0.60	\$19,742.18
COMMERCIAL SHOPS (per 1,000 sf)			
Convenience Market	40.00	0.50	\$54,839.40
Grocery Store	15.00	0.60	\$24,677.73
Discount Store	4.80	0.70	\$9,213.02
General Retail Shop	3.60	0.90	\$8,883.98
Furniture Store	0.54	N/A	\$1,480.66
RESTAURANTS (per 1,000 sf)			
Fast Food (with drive through)	45.50	0.60	\$74,855.78
Fast Food (without drive through)	49.00	0.60	\$80,613.92
Delicatessen (7 a.m. – 4 p.m.)	13.50	N/A	\$37,016.60
Sit Down, High Turnover	12.80	0.80	\$28,077.77
Sit Down, Low Turnover (quality)	8.00	0.90	\$19,742.18
FINANCIAL SERVICES (per 1,000 sf)			
Bank (walk-in only)	12.00	0.75	\$24,677.73
Bank (with drive-through)	20.00	0.75	\$41,129.55
OTHER LAND USES (per 1,000 sf unless otherwise noted)			
Church	0.72	N/A	\$1,974.22
Day Care Center (per child)	0.90	0.30	\$ 740.33
Private School (per student)	0.90	0.30	\$ 740.33
General Hospital (per bed)	1.70	N/A	\$4,661.35
Convalescent/Nursing (per bed)	0.21	N/A	\$ 575.81
Gas Station w/mart/car wash (per pump)	13.95	0.50	\$19,125.24
Hotel (w/convention facilities/restaurant) (per room)	0.80	N/A	\$2,193.58
Motel (per room)	0.81	N/A	\$2,221.00
Resort Hotel (per room)	0.56	N/A	\$1,535.50
Business Hotel (per room)	0.63	N/A	\$1,727.44
RECREATIONAL (per 1,000 sf)			
Golf Course (per hole)	3.20	N/A	\$8,774.30
Movie Theater (per seat)	0.144	N/A	\$ 394.84
Health Club	2.70	N/A	\$7,403.32